

Customer Segmentation Report

Executive Overview

Cluster	Name	Customers	Avg Spend (\$)	Destinations	Perk
Cluster 0	Cautious Starters	363	\$126	0.3	No Cancellation Fees
Cluster 1	Deal Seekers	1490	\$928	2.0	Exclusive Discounts
Cluster 2	Family Flyers	1532	\$776	1.6	Free Checked Bag
Cluster 3	Dormant Users	184	\$0	0.0	1 Night Free Hotel
Cluster 4	Hotel Loyalists	1554	\$1,760	3.7	Free Hotel Meal
Cluster 5	Ultra-Premium Flyers	61	\$12,959	1.8	Premium Lounge & Concierge
Cluster 6	Hotel-Only Users	274	\$0	0.0	Welcome Bonus 10%
Cluster 7	Family Package Travelers	540	\$2,436	2.5	Family Package Deals

Cluster 0: Cautious Starters

Profile: Very low spenders, almost no travel activity, highly price-sensitive.

Customers: 363

Average Spending: \$126

Average Destinations: 0.3

Cancellation Rate: Low

Recommended Perk: No Cancellation Fees

Business Goal: Build trust with flexible policies

Cluster 1: Deal Seekers

Profile: Large segment, uses discounts often, moderate spend, 2 destinations.

Customers: 1490

Average Spending: \$928

Average Destinations: 2.0

Cancellation Rate: Moderate

Recommended Perk: Exclusive Discounts

Business Goal: Increase engagement with deals

Cluster 2: Family Flyers

Profile: Budget-conscious, travel with baggage, family-oriented travel.

Customers: 1532

Average Spending: \$776

Average Destinations: 1.6

Cancellation Rate: Moderate

Recommended Perk: Free Checked Bag

Business Goal: Retain family/high-baggage travelers

Cluster 3: Dormant Users

Profile: Completely inactive group, no spend, needs strong activation.

Customers: 184

Average Spending: \$0

Average Destinations: 0.0

Cancellation Rate: None

Recommended Perk: 1 Night Free Hotel

Business Goal: Boost loyalty with premium bundles

Cluster 4: Hotel Loyalists

Profile: High-value travelers, combine flights & hotels, loyal to hotel offerings.

Customers: 1554

Average Spending: \$1,760

Average Destinations: 3.7

Cancellation Rate: Moderate

Recommended Perk: Free Hotel Meal

Business Goal: Encourage hotel loyalty

Cluster 5: Ultra-Premium Flyers

Profile: Small but extremely valuable, luxury spenders, expect exclusivity.

Customers: 61

Average Spending: \$12,959

Average Destinations: 1.8

Cancellation Rate: High (17%)

Recommended Perk: Premium Lounge & Concierge

Business Goal: Maximize value from ultra-premium travelers

Cluster 6: Hotel-Only Users

Profile: Book hotels but no flights, low engagement, activation potential.

Customers: 274

Average Spending: \$0

Average Destinations: 0.0

Cancellation Rate: Low

Recommended Perk: Welcome Bonus 10%

Business Goal: Activate inactive customers

Cluster 7: Family Package Travelers

Profile: High spenders, family or group trips, many hotels & flights.

Customers: 540

Average Spending: \$2,436

Average Destinations: 2.5

Cancellation Rate: Moderate

Recommended Perk: Family Package Deals

Business Goal: Upsell families & group travelers